

company has used its substantial cash flow to pay down its debt on the various acquisitions. I bought it for \$3 a share in September, 1985. At the high in 1988 it sold for \$36⁷/₈.

(4) IT'S A SPINOFF

Spinoffs of divisions or parts of companies into separate, freestanding entities—such as Safety-Kleen out of Chicago Rawhide or Toys “R” Us out of Interstate Department Stores—often result in astoundingly lucrative investments. Dart & Kraft, which merged years ago, eventually separated so that Kraft could become a pure food company again. Dart (which owns Tupperware) was spun off as Premark International and has been a great investment on its own. So has Kraft, which was bought out by Philip Morris in 1988.

Large parent companies do not want to spin off divisions and then see those spinoffs get into trouble, because that would bring embarrassing publicity that would reflect back on the parents. Therefore, the spinoffs normally have strong balance sheets and are well-prepared to succeed as independent entities. And once these companies are granted their independence, the new management, free to run its own show, can cut costs and take creative measures that improve the near-term and long-term earnings.

Here is a list of some recent spinoffs that have done well, and a couple that haven't done so well: